

**PUBLIC VERSION -
Confidential materials
excluded.**

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO.: 16:02

D.F. YOUNG, INC.,

COMPLAINANT,

V.

NYK LINE (NORTH AMERICA), INC.,

RESPONDENT.

COMPLAINANT D.F. YOUNG, INC.'S REPLY TO
RESPONDENT NYK LINE (NORTH AMERICA), INC.'S
OPPOSITION TO MOTION FOR SUMMARY JUDGMENT

Thomas J. Wagner, Esquire
Gabriel C. Major, Esquire
Law Offices of Thomas J. Wagner, LLC
8 Penn Center, 6th Floor
1628 John F. Kennedy Boulevard
Philadelphia, PA 19103
Attorneys for Complainant

TABLE OF CONTENTS

	Page
INTRODUCTION	1
ARGUMENT	1
CONCLUSION	13

TABLE OF AUTHORITIES

STATUTES

Freight Forwarder Law of 1961 11

Shipping Act of 1984 2, 6, 7, 11

REGULATIONS

46 C.F.R. §515.42 4, 8, 10, 12

CASES

United Mine Workers 1974 Pension v. Pittston Co.,
984 F.2d 469, 473 (D.C. Cir. 1993). 5

**BEFORE THE
FEDERAL MARITIME COMMISSION**

D.F. YOUNG, INC.,	:	
Complainant,	:	
v.	:	
NYK LINE (NORTH AMERICA), INC.,	:	DOCKET NO.: 16-02
Respondent.	:	

**COMPLAINANT D.F. YOUNG, INC.'S REPLY TO RESPONDENT'S OPPOSITION TO
COMPLAINANT'S MOTION FOR SUMMARY JUDGMENT**

Complainant, D.F. Young, Inc. ("Complainant" or "DFY"), by and through its undersigned counsel, and pursuant to 46 CFR §502.70(c), hereby replies to the Opposition to Complainant's Motion for Summary Judgment ("the Motion") filed by Respondent NYK Line (North America), Inc. ("Respondent" or "NYK") ("the Opposition")¹. NYK has failed to cite to evidence on the record showing an actual genuine dispute exists as to whether the terms of Rule 9 of NYK's tariff obligate NYK to pay DFY freight forwarder compensation or whether DFY has provided the services required to merit such compensation.

I. ARGUMENT

A. Respondent has admitted much of Complainant's Statement of Material Facts.

As a preliminary matter, and in order to assist the Commission in determining which factual issues are actually in dispute, it is important to identify which of the assertions listed in DFY's Statement of Material Facts NYK has admitted.

¹ Respondent has filed its own Motion for Summary Decision, which Complaint has separately opposed.

1. With regard to the existence of the applicable tariff section, NYK admits that Tariff NYKS 156, including its Rule 9 regarding freight forwarder compensation, was in effect during all relevant times, including up to November 2, 2016, and Rule 9 establishes that NYK will pay licensed freight forwarders compensation (pursuant to the Shipping Act of 1984 related rules and regulations) at a rate of 1.25% on freight on shipments of all auto manufacturers' cargo. (See Motion Statement of Material Facts ("SMF"), ¶¶1-4; Respondent's Opposition Statement of Facts, ¶¶1-4).
2. With regard to the freight forwarding activities of Schencker, Inc., DFY's predecessor as the Ford Motor Company's selected freight forwarder, NYK admits:

4. With regard to the NYK/DFY POA:

7. With regard to DFY's demands for payment for freight forwarder compensation of Ford shipments:

- a. NYK admits that DFY served NYK with demands (including copies of the documents required by 46 CFR §515.42) on Ford shipments until the parties decided that further formal demands were no longer necessary. (See *id.*, ¶¶75-76);
- b. NYK admits that it has not paid DFY any of the demanded freight forwarder compensation for Ford shipments, though it denies that withholding such payment is

- e. NYK concluded that the only activities DFY performed on Ford shipments was to remotely print bills of lading, since the EDI messages were transmitted through Ford's EDI platform. (See *id.*, ¶83).

B. NYK fails to demonstrate how any service contract incorporated and/or negated Rule 9 of Tariff 156

N

I

D. NYK is not free to disregard its own published Tariff as it sees fit.

It is a legal truism that ocean carriers are not obligated under the Shipping Act as currently enacted and amended to automatically include freight forwarder compensation in applicable tariffs. It is equally true that once a carrier publishes rules in tariffs to provide for such compensation, it cannot decide to pay compensation on some shipments described in those rules simply because it would prefer not to. The carrier's "freedom" comes in deciding to publish the rule or not in the first place, and, as NYK eventually did in the present case, deciding to rescind it. As long as the rule is in effect (and NYK admits that Rule 9 was in effect at all times up to November 2, 2016), it cannot ignore it.

Conversely, DFY's Robert Tracy testified repeatedly that DFY does not send forecasts to NYK on GM

E. There is no genuine dispute that DFY booked and confirmed space for Ford shipments and that its work on bills of lading was on behalf of NYK.

In Point 4, NYK finally addresses what the present case is actually about: whether DFY, on Ford shipments, performed the services described in 46 C.F.R. §515.42(c) as incorporated into Rule 9. NYK argues here that DFY's services do not satisfy either prong of Section 515.42. The Commission has all of the information it needs in the deposition testimony and documentary record to find that DFY has fulfilled both parts of Section 515.42(c).

Section 515.42(c)(1).

Section 515.42(c)(2)

The American Union Test

NYK ends its attempt to convince the Commission that DFY has not performed the services required by Section 515.42 by reference to a string of cases and findings by the Federal Maritime Board from over half-century ago. (See Opposition, ¶¶60).

These cases not only pre-date all of the current versions of FMC regulations on freight forwarder commission, they predate the Shipping Act of 1984, the Freight Forwarder Law of 1961, and the formation of the FMC, itself. Furthermore, these cases specifically deal with the issue of "brokerage," not "freight forwarder compensation" as presently discussed and defined by the FMC regulations and the amended Act. Even Rule 9 appreciates and recognizes the difference between these two concepts,

referring to the two concepts separately a number of time

The Commission has already decided that the services described in Section 515.42(c) (which DFY performed on Ford shipments) are "value-added" services entitling forwarders to carrier compensation. (See 46 C.F.R. §515.42(e)). NYK's discussion on archaic caselaw that is not interpreting any relevant statute or regulation does not change this.

F. The language of service contracts determines if they are exempt from publication, not the performance of the parties.

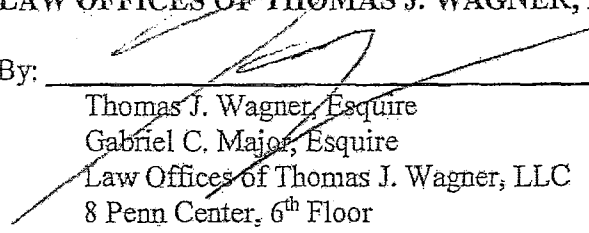
II. CONCLUSION

NYK's Opposition only further demonstrates that it has withheld freight forwarder compensation owed to DFY, not because of the existence of any service contracts, power of attorney, or confusion as to what entity it was interacting with in regard to EDI exchange, but because it did not pay DFY's predecessor compensation after that predecessor waived it. DFY never waived this compensation, however, and NYK cannot avoid what it owes by rescinding Rule 9 or hoping that the Commission will conjure up requirements that do not exist under Section 515.42. NYK published a tariff rule promising freight forwarder compensation. DFY performed certified services pursuant to that tariff rule. NYK has not shown that any genuine factual issue exists to deny DFY its due compensation.

Respectfully submitted,

LAW OFFICES OF THOMAS J. WAGNER, LLC

Date: February 6, 2017

By: 
Thomas J. Wagner, Esquire
Gabriel C. Major, Esquire
Law Offices of Thomas J. Wagner, LLC
8 Penn Center, 6th Floor
1628 John F. Kennedy Blvd.
Philadelphia, PA 19103
tjwagner@wagnerlaw.net
Tel.: 215.790.0761
PA Bar ID No. 52876/209157
Attorneys for Complainant, D. F. Young, Inc.

BEFORE THE FEDERAL MARITIME COMMISSION

D.F. YOUNG, INC.,	:	
Complainant,	:	
v.	:	
NYK LINE (NORTH AMERICA), INC.,	:	DOCKET NO.: 16-02
Respondent.	:	

CERTIFICATE OF SERVICE

The undersigned certifies that on the date noted below he served a true and correct copy of the foregoing Complainant D.F. Young, Inc.'s Reply to Respondent NYK Line (North America), Inc.'s Opposition to Motion for Summary Judgment via Fed Ex Overnight and email on the following at the addresses provided:

Paul M. Keane
Joseph De May, Jr.
Cichanowicz Callan Keane & De May, LLP
50 Main Street, Suite 1045
White Plains, NY 10606
pkeane@cckd-ny.com
jdemay@cck-ny.com

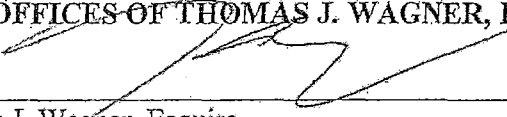
Attorneys for Respondent, NYK Line (North America), Inc.

Respectfully submitted,

LAW OFFICES OF THOMAS J. WAGNER, LLC

Date: February 6, 2017

By:



Thomas J. Wagner, Esquire
Law Offices of Thomas J. Wagner, LLC
8 Penn Center, 6th Floor
1628 John F. Kennedy Blvd.
Philadelphia, PA 19103
tjwagner@wagnerlaw.net
Tel.: 215.790.0761
PA Bar ID No. 52876
Attorney for Complainant, D. F. Young, Inc.